

tively insulated, the risks are real and sector specific.



Employee costs grew by 7% in FY25, the lowest in four years, compared to 13-16% growth in the previous three years. What explains this slowdown?

There has been a lot of concentration in terms of controlling overall costs. This includes employee costs also. We have not seen companies normally giving double-digit increments. That is something that has slowed down. Second, if you look in terms of overall hiring at various levels, it also shows a mixed pattern. Not all companies are hiring. For example, several IT companies are opting for layoffs. When you have a layoff, people who earn a higher salary tend to get laid off. All these factors have actually combined to bring about slower growth in terms of wage or salary bill.



Do you think the Reserve Bank of India's (RBI's) rate cuts will finally push corporate profitability and investment plans in the ongoing fiscal year?

The impact of rate cuts will depend largely on demand environment across specific industries. In infrastructure-linked sectors—such as steel, cement, chemicals, and capital goods—where demand remains strong, we can expect a pickup in investment activity. These sectors are already witnessing robust demand, and lower interest rates could further support their capex plans.

However, when it comes to consumer-oriented industries, the story is different. Over the past couple of years, inflation has dented urban consumption, and many of these companies are still operating with surplus capacity. So, for them, a cut in interest rates alone may not be sufficient to trigger fresh investments unless demand picks up meaningfully.



Why has sales growth slowed over the past two years, and what kind of topline and bottom line performance do you expect from India Inc in FY26?

The slowdown in sales over the past two years is largely a result of the post-Covid adjustment. Initially, there was a strong pent-up demand in manufacturing, but that eventually peaked and began to taper off, led by high inflation. Later, we witnessed a surge in demand for services like travel and tourism, which continues to some extent even now.

This uneven recovery has created phases where topline growth was strong but profit margins were under pressure, and later, when profits improved, topline growth became subdued.

Looking ahead to FY26, with inflation expected to decline—possibly to 3.7–3.8%—the pricing pressures should ease. This, coupled with a gradual revival in consumption, could support revenue growth for companies. **BT**

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A high base due to post-Covid rebound and pricing pressures also hit sales. Employee expense growth was 7%, the lowest in four years compared to 13–16% in the previous three years, reflecting cautious hiring amid global uncertainties.

“As normalisation ensued in the years post Covid, employee expense growth also plateaued. We saw macro slowdown over the past couple of years, stagnant salaries and fewer job opportunities for freshers. The onslaught of AI has improved the productivity of existing employees in many sectors, resulting in less employee headcount growth. Many roles have also been eliminated,” says Patni.

SECTORAL BREAKDOWN

Sectors like real estate, defence, healthcare and financial services reported strong earnings, while FMCG and information technology (IT) remained under pressure. Real estate, in particular, has benefitted from favourable financing and increased demand after the pandemic. Defence has been bolstered by rising budget allocations and the government's push for indigenisation.

The combined net profit of real estate companies grew by more than 30% in FY25 compared to 75% in FY24 and 5.4% in FY23. “Strong project launches and sustained demand, especially in premium and luxury segments, have driven earnings recovery for the sector. Rising disposable incomes and an increase in the number of dual-income households are also boosting demand for mid-income housing,” says Rahul Singh, CIO-Equities, Tata Mutual Fund. He believes the recent rate cut environment is support-